

NVIDIA Corporation

NVDA NASDAQ

Hold	\$191.10 ▼ 3.00%	12M Price Target \$210.00	52-Week Range \$164.07 – \$236.54	Market Cap \$4.63T
------	------------------	------------------------------	--------------------------------------	-----------------------

NVDA: Burry's CDS Warning Spooks the AI Trade

WHAT HAPPENED

- NVDA dropped 3% today and is down ~8% in a week — the trigger looks like Michael Burry (the "Big Short" guy) publicly flagging that NVDA's 5-year credit default swaps are going "parabolic." Translation: the price to insure NVDA debt against default is spiking, which means bond traders are nervous about something. That's a big deal because credit markets usually spot trouble before stock markets do.
- Options flow is loud and bearish — someone bought 78K+ puts at the \$192.50 strike (5x the normal open interest), basically a huge bet the stock keeps falling short-term. That's not retail panic, that's institutional hedging.

WHY IT MATTERS

The Burry CDS story matters less because of Burry and more because of what he's pointing at: analysts are getting worried about the "circular financing" in AI — where NVDA sells chips to hyperscalers and OpenAI/Anthropic, who are funded partly by... the same hyperscalers, who are funded partly by AI enthusiasm. If any link in that chain wobbles (say, Meta earnings disappoint tomorrow), demand forecasts for GPUs get questioned fast. The stock at 37% of its 52-week range tells you the easy money has already been made this cycle — we're in the "prove it" phase where every earnings print needs to be flawless. Watch Microsoft and Meta earnings this week; if their AI capex guidance gets trimmed even slightly, NVDA has another leg down.

POLICY & POLITICAL WATCH

The big overhang is still China export controls — the Trump administration's revised H2O chip policy allows some sales to China but with a 15% revenue kickback to the US government, which is a de facto tax on NVDA's China business (roughly \$15-20B in annual revenue at risk). Congress is also debating the CHIPS Act 2.0 expansion, which could pour more federal money into domestic AI infrastructure — that's a tailwind for NVDA if it passes, since they'd be the primary beneficiary of any federal AI compute buildout. Wildcard: the FTC under the current admin has been quieter on Big Tech antitrust, but NVDA's 90%+ share of AI training chips makes them an obvious target if political winds shift.

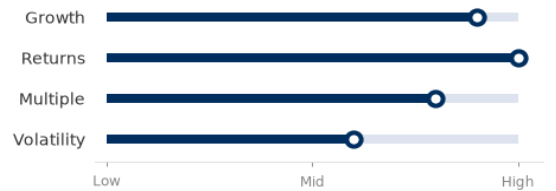
IS IT EXPENSIVE?

At ~43x forward earnings, investors are paying \$43 for every \$1 of profit NVDA is expected to make next year — that's expensive vs. the S&P at ~22x, but cheap vs. where NVDA traded a year ago (60x+). The market is basically saying "growth is still great but not as spectacular as we thought." Justified? Only if data center revenue keeps growing 30%+ — if it decelerates to 15-20%, this multiple compresses hard and you're looking at \$160 quickly.

Key Data

Price (USD)	\$191.10
12M Price Target	\$210.00
Upside / (Downside)	+9.9%
Market Cap	\$4.63T
FY2026E Revenue	\$205M
FY2027E Revenue	\$265M
FY2026E EPS	\$4.45
FY2027E EPS	\$5.80
Fwd P/E	43.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$210.00	\$195.00	\$178.00
6 Months	\$240.00	\$210.00	\$170.00
1 Year	\$265.00	\$220.00	\$160.00
2 Years	\$310.00	\$245.00	\$150.00
5 Years	\$420.00	\$300.00	\$140.00
10 Years	\$650.00	\$400.00	\$130.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.6% today) is catching a bid — likely a defensive rotation plus AI-power-demand narrative (data centers need enormous electricity). Healthcare and Staples getting bought = classic risk-off flow.

COOLING OFF: Communication Services and anything AI-adjacent — the market is questioning the growth story that carried tech all year.

ROTATION WATCH: Money is moving OUT of high-multiple tech and INTO defensive/energy names. This isn't a full risk-off panic yet — it's more like "let's take some AI chips off the table before earnings."

RELATED PLAY: If you believe the AI story long-term but don't want NVDA's China exposure, the utilities and independent power producers (VST, CEG) supplying data center electricity have been quiet winners of the same trend.

WHO'S WINNING IN THIS SPACE?

- XOM/CVX (Energy majors): Riding the "AI needs power" narrative plus general risk-off rotation
- MU (Micron): Getting attention as the memory-chip play in AI — cheaper alternative to buying NVDA at these levels

NVDA CONTEXT: NVDA is lagging its own sector this week, which is telling — it's not a broad tech selloff, it's specifically NVDA-related concerns (credit, China, customer concentration). When the market singles out the leader, that's usually a sign of near-term exhaustion, not a fundamental break.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Still the best-positioned company in AI, but the risk/reward at \$191 isn't screaming "back up the truck." Better setups have come and will come again.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a 30% drawdown doesn't ruin your year

ENTRY POINTS: I'd add on a pullback to \$180-185, which is the next major support. If it slices through that on high volume, wait for \$165ish (near the 52-week low).

TIME HORIZON: 12-24 months. Near-term catalyst is hyperscaler earnings this week; medium-term catalyst is Blackwell/Rubin chip ramp and China policy clarity.

WHEN TO BAIL: If data center revenue growth decelerates below 20% YoY, or if a major hyperscaler announces meaningful in-house chip transition, or if China revenue goes to zero via full export ban

HEDGING: Simplest way — buy some downside protection with put options 3 months out at the \$180 strike. It's like insurance: costs a little, but if the AI trade breaks, you'll be glad you had it.